EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

Board Overview

John M. Quinn | Cofounder & CEO, Exos Aerospace

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CONFIDENTIAL — DRAFT — NEGOTIATING TERMS

The Decision

The Board is asked to vote on five motions today.

That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.

Motion 1: Approve Exos offer (Option B) + §3 exclusivity (90-day; 60-day ext. if progress)
Motion 2: Full read-only QB Online access for diligence (Cal. Corp. Code §1602 + AAA §4; under 7/27/2021 NDA)
Motion 3: Correct AR Unbilled & Deposits accounting within 5 days (A La Carte + outside CPAs)
Motion 4: Consent to ERP/MRP & inventory evaluation using QB data (confidential under NDA)
Motion 5: Resolve related-party balances (4/30/2026 entries) — independent accountant; Microcosm/Wertz directors abstain

These motions protect every SSLC holder outside the Microcosm/Wertz group, including Exos (18.06%), by correcting the books before any payout.

Share register (08-2024): Microcosm 32.09% + Wertz 11.80% = 43.90% group (53.6% of non-Exos pool). Exos: 18.06% (157,553 of 872,525 shares). Non-Microcosm/Wertz: 56.1%.

Where SSLC Stands Today

$590K

Cash at 10/11

One IM payment 10/7

$713K

Last quarter revenue

Most recent reported quarter

~$1.46M/qtr

Required to hit $5.1M

M1 milestone threshold

$590K cash at 10/11 came largely from one Intuitive Machines payment on 10/7 for start-billed tanks; a $5.1M year still requires ~2× last quarter's pace starting now. With $1.03M of debt, equity of −$1.44M, and physical-space and single-winder constraints, Exos's offer removes the funding risk and gives SSLC holders direct upside.

SSLC Capital & Debt: What's on the Books

WHAT INVESTORS PAID IN

Common stock (Acct 3010)	$1,010,423
APIC (Acct 3020)	$4,042
Total paid-in capital	**$1,014,465**
Exos: 18.06% → $790,000	**~78% of above**
Accum. deficit (thru FY26)	**−$2,571,013**
FY27 YTD net income (10/11)	**+$112,666**
Total equity (10/11/2026)	**−$1,443,882**

WHAT SSLC OWES (10/11/2026)

Loans & notes (total)	**$1,027,783**
Due to Microcosm (Acct 2385)	**$451,429**
Notes Payable – Bookstore	**$320,582**
SBA EIDL (Acct 2712)	**$132,072**
Wertz loan (Acct 2714)	**$92,500**
Exos loan (11%; stands)	**$31,200 (~$38K+int)**
Total liabilities (10/11)	**$1,296,521**

Exos loan: $31,200 at 11%; board denied cancellation — loan stands. Total invested: $790,000 for 18.06% (157,553 shares).

Exos reconciliation of SSLC's books (Motions 2 & 3) — see next slide →

Exos Reconciliation of SSLC's Books: As Booked vs. Adjusted

Account	As Booked 10/11/26	Exos Adjusted	Equity Impact	Basis
1110 AR Unbilled	$942,177	$100K–$250K	+$692K–+$842K	Undocumented / unsubstantiated billings (Motion 3)
2385 Due to Microcosm	$451,429	~$100,429	+$351,000	Rent+util credit 50%, Jul '24–Aug '26
2700 Bookstore note	$320,582	$223,280	+$97,302	Interest capitalized 4/30/26; no approval
1481 Loan to Microcosm	$0	up to $518,201	+$518K (if unsup.)	Acct 1480; netted 6/30/25 (JEs #25925-26)
2701 Microcosm loan (pre-24)	$0	up to $294,499	+$294K (if undoc.)	Support not provided (Q14; Motion 5)
2714 Wertz loan	$92,500	$92,500 pending	—	Promissory note pending
2720 Exos loan	$31,200	$31,200	—	Board denied cancellation; 11% stands

Total equity as booked: **-$1,443,882**

Step 1 credits (+$448K):	**-$1,443,882 + $448K ≈ -$996K**	*Facility credit + no Bookstore interest: holders recover $448K.*
Steps 1+2 (+$967K):	**-$1,443,882 + $967K ≈ -$477K**	*Also reverse $518K of netting offsets with no invoices.*
Steps 1+2+3 (+$1,261K):	**-$1,443,882 + $1,261K ≈ -$183K**	*Also reverse the undocumented pre-2024 $294K Microcosm loan.*

AR correction (1110) tracked separately under Motion 3; range $692K–$842K additional equity improvement if resolved.

WHAT THIS MEANS FOR SHAREHOLDERS OUTSIDE MICROCOSM/WERTZ: cash at a Jan 15, 2027 close per 1% of SSLC (8,725 sh.)

As booked (no corrections applied):	$1,388,000 / 82 =	**$16.9K**
Step 1 applied (+$448K — facility credit + capitalized interest):	$1,836,000 / 82 =	**$22.4K**
Steps 1+2 (+$967K — + unsupported offsets corrected):	$2,355,000 / 82 =	**$28.7K**
Steps 1+2+3 (+$1,261K — all three corrections applied):	$2,649,000 / 82 =	**$32.3K**

Share Register Check: 08-2024 Register vs. 6/3/2026 Ledger

Only two holdings differ (Exos and Conger) between the Aug 2024 share register and the 6/3/2026 QB stock ledger. Motion 2 corrects both.

Register (08-2024) vs. Ledger (6/3/2026)

Holder	Register	Reg %	Ledger	Ldgr %	Diff
Microcosm	280,000	32.09%	280,000	33.02%	0
Wertz family	103,000	11.80%	103,000	12.15%	0
Exos	**157,553**	**18.06%**	**132,972**	**15.68%**	**-24,581**
Conger	**73,000**	**8.37%**	**29,000**	**3.42%**	**-44,000**
Rufer	91,000	10.43%	91,000	10.73%	0
Other	167,972	19.25%	211,972	25.00%	+44,000
TOTAL	**872,525**	**100.0%**	**847,944**	**100.0%**	**-24,581**

⚠ Exos: 24,581 shares not in 6/3/26 ledger (2021-2024 issuances).
⚠ Conger: cert #3 (44,000 sh.) not listed by name on the ledger (folded into 'other'). Motion 2 corrects both.

Non-Microcosm/Wertz (489,525 sh.) = 56.1% of votes.

Microcosm/Wertz group 43.9% — cannot unilaterally pass Motion 5.

Exos $790K Invested — How Accumulated

Nov 2021: initial investment	$450,000
12/21/2023: follow-on	$60,000
Mar–Apr 2024: follow-on	$250,000
7/24/2024: $30K loan → equity	$30,000
Total	**$790,000**

PAID-IN CAPITAL (SSLC Books vs. Register)

Common stock (Acct 3010)	$1,010,423
APIC (Acct 3020)	$4,042
Total paid-in (books)	**$1,014,465**
Exos portion (books=register)	$790,000
All other holders (books)	$224,465
Non-Exos at register basis	**$460,752**

Register basis ($461K) exceeds books ($224K). Motion 2 reconciles.

VOTING POWER (non-Microcosm/Wertz: Exos 18.06% + Conger 8.37% + Rufer 10.43% + Other 19.25%)

489,525 / 872,525 = 56.1% of all votes

Microcosm/Wertz 43.9% — cannot pass Motion 5 alone.

The April 30, 2026 Entries: As Found and What They Cost Holders

Per SSLC's QuickBooks, 4/30/2026

$426,687 — **Microcosm A/P reclassified to Due to Microcosm**

Vendor invoices become a fixed insider balance due at close

$97,302 — **Interest capitalized into the Bookstore note**

Increases the payout to Microcosm Astronautics Books

$812,699 — **Loans to Microcosm, booked in workers'-comp acct 1480**

Not a receivable. Netted 6/30/2025 (#25925-26):
$294,499 loan payable + $518,201 no invoices
Reclassified to acct 1481 on 4/30/2026; now $0

Since Jul 2024: SSLC pays 100% of facility costs

Microcosm's ~$351K share (rent + utilities) has never been credited

Why the Board must review *(appearance, not intent)*

- Every entry favors Microcosm/Wertz-controlled entities and increases what they are paid at close.
- The entries were made under the direction of interested officers and were not approved by disinterested directors (Cal. Corp. Code §310).
- They were made while a director's right to inspect the books was outstanding (Bylaws Art. VII §4).
- They were booked while the acquisition was pending.
- Insider interest was capitalized while Exos, the one outside lender, went unpaid — Microcosm's 2026 short-term loans ($150K) were repaid within months; Exos's $31K loan remains past due.

Together: the appearance of self-dealing. Found by MTB Capital; these issues have held up Exos's independent Eqvista fairness opinion.

IMPACT ON SSLC HOLDERS

Of every $1 paid to Microcosm/Wertz at close, 46¢ comes from holders outside that group (they own 46% of the non-Exos pool).

Step 1 — Facility credit + capitalized interest: **$448K total · Non-Wertz holders lose ~$208K (Conger ~$46K, Rufer ~$57K)**

Step 2 — + Unsupported offsets ($967K total): **Non-Wertz lose ~$449K · Conger ~$99K · Rufer ~$123K · Microcosm would owe SSLC**

Step 3 — Full $812K Microcosm loan undocumented ($1.26M): **Non-Wertz lose ~$585K · Conger ~$129K · Rufer ~$160K**

Microcosm can resolve this before the vote by providing invoices and agreeing to the corrections. Motion 5 is decided by Quinn, Rufer and Conger.

What SSLC Shareholders Get: Conger & Rufer Example

Value per 1% of SSLC (= 8,725 shares; 1/82 of non-Exos pool)

Scenario	Low	Base	High
Net at close (as booked)	$14.2K	**$16.9K**	$19.6K
Net at close (Step 1, +$448K)	$19.7K	**$22.4K**	$25.1K
Net at close (Steps 1+2, +$967K)	$26.0K	**$28.7K**	$31.4K
Net at close (Step 3, +$1.26M)	$29.6K	$32.3K	$35.0K

Per share (base): $1.94 at close · $5.51 over 5 years

Bob Conger — 73,000 shares

8.37% of SSLC · 10.21% of payout
Certs #3 (44K) + #43 (29K)

Close, as booked	**~$141.7K**
Close, Step 1	**~$187.5K**
Close, Step 1+2	**~$240.5K**
Close, Step 3	**~$270.5K**

5-yr ≈ $403K (8.2× paid-in). 6/3 ledger omits cert #3.

Rufer — 91,000 shares

10.43% of SSLC · 12.73% of payout
~$31.4K paid-in (register)

Close, as booked	**~$176.7K**
Close, Step 1	**~$233.7K**
Close, Step 1+2	**~$299.7K**
Close, Step 3	**~$337.1K**

5-yr ≈ $502K (16× paid-in). Ledger matches register.

IF THE APRIL 30 ENTRIES ARE NOT CORRECTED

	Lost per 1% of SSLC	Conger (73K sh.)	Rufer (91K sh.)
Step 1: facility credit + interest ($448K)	**−$5.5K**	**−$45.8K**	−$57.1K
Steps 1+2: + unsupported offsets ($967K)	**−$11.8K**	**−$98.7K**	−$123.0K
Steps 1–3: + full $812K loan ($1.26M)	**−$15.4K**	**−$128.7K**	−$160.5K

✔ SELL TO EXOS: offered value creation

- ~$14–20K per 1% in cash at close
- ~$48K per 1% over 5 years
- Books corrected (Step 3) · risk removed

Declining means believing SSLC alone beats this without new capital.

✘ REFUSAL TO SELL: today's value and the standalone path

- Today: book equity −$1.44M, so no cash to holders without a sale
- Future: SSLC alone must double revenue to $5.1M+, with no new capital
- Insider balances ($864K as booked) are paid first

Projection, not a guarantee. Amounts estimated from SSLC QuickBooks (10/11/2026) and the 08-2024 share register.

What SSLC Holders Receive

Cash at close	**$2.51M**
SSLC transaction costs	**$60K**
Exos stake credit (non-cash)	**$790K**

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

① **Cash at close — target Jan 15, 2027**	**$3.36M**
+ EAI stock — key SSLC personnel (Rule 504, ~0.59%, not pro-rata)	**$1.0M**
② **Total at financing close (SSLC asset acquisition)**	**$4.36M**

How Value Grows: Earn-Outs & Milestones

Earn-Out	Target SSLC Must Hit	Low $3M/yr → $150K/yr → $750K	Base $5M/yr → $250K/yr → $1.25M	High $6M+/yr → $300K/yr cap → $1.5M	Pays
5% of IM tank revenue/yr cap $300K/yr, FY27–FY31	Revenue SSLC achieves each year FY27–FY31				Annual FY27–FY31
M1 FY27 revenue ≥$5.1M → $200K	Annual rev ≥$5.1M in FY27	✓	✓	✓	FY28 Q1
M2 Nebula OTV tank set accepted → $200K	Tank set delivered and accepted by Intuitive Machines	—	✓	✓	At acceptance
M3 Revenue ≥$10M year → $250K	Annual rev ≥$10M	—	✓	✓	Est. FY29
M4 Revenue ≥$20M year → $250K	Annual rev ≥$20M	—	—	✓	Est. FY31
M5 50% build-cost cut → $200K	50% cost reduction proven (dome & process automation)	—	—	✓	Est. FY27–28
Exos stock earn-out at RTO listing	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (③ – ②)		**$950K**	**$2,525K**	**$4,100K**	**5-yr total**

How it pays SSLC holders: (1) milestone cash M1–M5 at each trigger; (2) 5% of IM tank revenue every year FY27–FY31 (a $5M year pays $250K; cap $300K/yr); (3) Exos stock at the RTO listing. All on top of cash at close.

Total Offer Value

③ 5-Year Total (earn-outs realized)

Low	Base	High
$5.3M	$6.9M	$8.5M
5-yr realized	5-yr realized	5-yr realized

④ If Exos Stock Held to 2031 (projection)

Low	Base	High
$11.0M	$14.8M	$18.4M
if held to 2031	if held to 2031	if held to 2031

④ is a forward-looking projection, not a guarantee; an alternative to ③, not additive.

Offer Value as a Multiple of SSLC Revenue

FY26 actual: $1.925M | FY27 target: $5.1M

	vs. FY26 actual ($1.925M)	vs. FY27 target ($5.1M)
② At close: $4.36M	~2.3×	~0.85×
③ 5-year: $5.3M – $8.5M	~2.8–4.4×	~1.0–1.7×
④ Max $18.4M (held to 2031)	~9.6×	~3.6×
③ Implied SSLC 5-yr cumul. revenue	Low ≈$15M | Base ≈$25M+	High = est. (milestones)
Industry rev. multiple norm	*1.3×–3.3× revenue (First Page Sage, Feb 2025 — SaaS/tech services comps)*	

FY27 YTD credit: SSLC net income through 10/11/2026 = +$112,666 (per QuickBooks). Supports FY27 ≥$5.1M milestone trajectory.

Declining this offer is a judgment that SSLC alone, without new capital, is more likely to create more than the $18.4M maximum this offer projects (if Exos stock is held to 2031). Not a guarantee; "projects" is the operative word.

The Exos Stock

Instrument

$1.0M Exos Aerospace Investments, LLC (EAI) units to key SSLC personnel (409A, ~$169.7M, ~0.59% FD). Not distributed pro-rata to cap table.

Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close. The EAI units issued to key SSLC personnel are part of Exos's California employee-retention initiative.

SSLC Employees

Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

Facilities & Growth

CA: New lease near the current SSLC site, 25,000–35,000 sq ft with high ceilings, to shift manufacturing and support expansion.

TX: Expansion in Texas to support Exos rocket builds, funded under the same PIPE financing.

$1.0M EAI (Exos stock) to key SSLC personnel at financing close (not pro-rata to the cap table).

Exos Funding Commitments

$2.51M cash	at financing close (target Jan 15, 2027)
SSLC transaction costs	at financing close (target Jan 15, 2027)
$1.0M EAI stock — key SSLC personnel (Rule 504)	at financing close (target Jan 15, 2027)

Timing: financing close (target Jan 15, 2027) → ~1 month to complete asset acquisition close → ~2 months to execute move into CA facility. Employment offers issued at financing close.

Capital in the new year — physical space and a second winder	(amount TBD; committed at financing close)
Employment offers + option pool	at financing close (target Jan 15, 2027)
Earn-outs on milestones and tank revenue	FY27–FY31 as triggered

Five motions today: approve offer + §3 exclusivity (90-day + 60-day extension) → financing close target Jan 15, 2027

Projected Shareholder Payout — Close Jan 15, 2027 (Base Case, Current Books)

Cash to Shareholders at Close

Exos cash purchase price	+$2,510,000
+ SSLC cash at close (est.; $590K on 10/11)	+$675,000
Subtotal inflows	**$3,185,000**
– SSLC loans & notes	($1,027,783)
– Other current liabilities (AP, accruals)	($148,738)
– Customer deposits (IM, transferred)	($120,000)
– Billed-ahead work, genuine (Exos est.)	($250,000)
– 5% escrow holdback (released 12 months)	($125.500)
– 5% outside services fee on cash proceeds	($125,500)
Net cash distributable at close	**~$1.39M**
+ Key personnel EAI (Rule 504; not pro-rata)	+$1,000,000
+ Escrow release at 12 months	+$126,000
+ Earn-outs base case (FY27–FY31)	+$2,430,000
~5-yr to holders (+ $1M EAI to key personnel)	**~$3.95M**

What Shareholders Paid In vs. Will Receive

PAID-IN CAPITAL (per SSLC books)

Common stock	$1,010,423
Additional paid-in capital (APIC)	$4,042
Total paid-in capital	**$1,014,465**

Exos: $790,000 for 18.06% — recognized via $790K stake credit in price

All other holders: ~$224,000 combined for 81.94%

Invested largely 25+ yrs ago (per John Quinn; to be confirmed via stock ledger). Exos: 2021–2024.

PROJECTED RETURN (OTHER HOLDERS, 81.94%)

Cash at close (est.)	~$1.4M
Total over 5 years (holders, excl. EAI)	~$3.95M
Implied return on invested capital	6× at close / 18× over 5

⚠ NOT YET CREDITED TO SSLC HOLDERS

Step 1 (+$448K — facility credit + capitalized interest):
Net cash at close ≈ $1.84M · per 1% ≈ $22.4K

ALL STEPS APPLIED (Steps 1+2+3, +$1,261,001):

Net cash at close ≈ $2.65M · per 1% of SSLC ≈ $32.3K

($1.39M as booked → +$1,261K corrections → ≈ $2.65M)

Why We Need the Stock Ledger (Motion 2)

- Books show $1,014,465 total paid-in; the stock ledger allocates it by shareholder.
- Ledger confirms cap structure: which shares were issued for cash vs. debt conversion.

Projection based on SSLC books 10/11/2026 + Exos offer terms. Low/high: net cash $1.15M–$1.62M; 5-yr $2.8M–$6.0M. Not a guarantee.

Board Motions

1 **Approve Exos's Offer, Confirm §3 Exclusivity (90-Day + 60-Day Extension)**

The Board approves the Exos offer (Option B terms), confirms Exos's 90-day §3 exclusivity under the May 2025 Asset Acquisition Agreement (extendable 60 days if significant progress is being made toward a definitive agreement, not unreasonably withheld).
Target financing close: January 15, 2027.

☐ Approve
☐ Decline

2 **Grant Full Read-Only QuickBooks Online Access for Diligence**

Authorize all-access QB Online for John Quinn + one Exos finance reviewer.
Provide: stock ledger, cap table, subscription agreements, paid-in capital by shareholder.
Deadline: Oct 15, 2026. §1602 inspection right + AAA §4. NDA 7/27/2021.

☐ Approve
☐ Decline

3 **Correct AR Unbilled / Customer-Deposit Accounting Within 5 Days**

Direct A La Carte Solutions + Singer Lewak / Welch & Co. to reconcile within 5 days:
- Acct 1110 AR Unbilled ($942,177) and Acct 2380 Customer Deposits ($120,000).
- Clear start-billings on shipped tanks; post Jul–Sep 2026 revenue-recognition entries.
- Tank recon (IM-109/122/134, EXOS-133) + corrected balance sheet to all directors.

☐ Approve
☐ Decline

4 **Consent to ERP/MRP & Inventory Evaluation (Separate Motion)**

Authorize Exos to use the QB data to evaluate compatible ERP/MRP and inventory systems.
Evaluation only; no implementation obligation. Confidential under the NDA.

☐ Approve
☐ Decline

Governance: John Quinn abstains on Motions 1 and 4 (Exos is the counterparty); Motions 2 and 3 are decided by the full Board.

Board Motions (continued)

5 Resolve Related-Party Balances (April 30, 2026 Entries)

☐ Approve
☐ Decline

The Board directs the following:

1. Treat the April 30, 2026 journal entries as disputed, pending independent review. Microcosm and the Bookstore (Microcosm Astronautics Books) shall provide invoice and agreement support for each netting offset and for the Bookstore and Wertz notes.

2. Credit Microcosm's share of SSLC's facility costs since July 2024 against the "Due to Microcosm" balance, unless a written agreement signed by disinterested directors provides otherwise.

3. No payment, netting, security interest, or further accrual of interest on the Microcosm, Bookstore, or Wertz balances without prior approval of the disinterested directors of SSLC.

4. An independent accountant chosen by the disinterested directors shall reconcile these balances and the AR Unbilled / Customer-Deposit accounts within 30 days.

Governance: Interested directors J. Wertz and A. Wertz abstain on Motion 5 (Cal. Corp. Code §310). Motion 5 is decided by the disinterested directors: J. Quinn, M. Rufer, R. Conger.

Path to Close

1. **Board Vote: Offer + §3 Exclusivity (90 days + 60-day ext.)**
   Today — action requested at this meeting

2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins

3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized

4. **Financing Close — target Jan 15, 2027**
   Cash at close + EAI units issued; ① + stock = ②

5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

The Board is asked today to vote on Motions 1–5: approving the Exos offer and granting exclusivity (90-day + 60-day ext., Motion 1), QB access (Motion 2), accounting correction (Motion 3), and ERP evaluation (Motion 4), and related-party balances (Motion 5). Declining Motion 1 is a judgment that SSLC alone — without new capital — is more likely to create more than the $18.4M maximum this offer projects (if Exos stock held to 2031). Not a guarantee; "projects" is the operative word.